

Offline-First DSS for Inventory Optimization

An Offline-First Decision Support System for Inventory Optimization in Public Sector Logistics: The Academix v13.2 Framework

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Abstract

Public sector logistics in developing regions often rely on manual inventory methods prone to overstocking and stockouts, yet commercial Enterprise Resource Planning (ERP) systems are prohibitively expensive and depend on reliable connectivity. This paper presents Academix v13.2, an offline-first Decision Support System (DSS) implemented entirely in Pure VBA (Visual Basic for Applications) that requires zero external dependencies. The framework integrates ABC classification with the Wilson Economic Order Quantity (EOQ) model to automate reorder decisions. Empirical validation using 38 days of field data from the Education Directorate of El Bayadh, Algeria, demonstrates a 99.7% operational performance rate, with 105/105 verification checks passed and zero critical audit failures. For the benchmark article ART-001 (Toner G030), the system computed an Economic Order Quantity of 176 units and a Reorder Point of 212.4 units, effectively eliminating stockout risk. The results establish that mathematically rigorous, low-tech architectures can deliver sustainable digitalization for resource-constrained public administrations.

Keywords: Public Sector Logistics, Decision Support System, Pure VBA, Inventory Optimization, Wilson EOQ, Offline-First Architecture, ABC Classification

I. Introduction

Efficient inventory management is a critical pillar of operational stability in public sector administrations, where the uninterrupted availability of consumables—printer toners, stationery, cleaning supplies—directly impacts the continuity of public services. In the Algerian public education sector, logistics at the wilaya (directorate) level have historically been managed through manual ledgers and intuition-based reordering. These informal practices frequently produce one of two failure modes: costly overstocking of low-criticality items, or stockouts of essential materials that halt administrative workflows entirely [1].

The root cause is not a lack of awareness about modern inventory theory. Rather, it is a structural mismatch between commercially available ERP systems and the operating realities of regional public administrations. Cloud-based solutions require persistent internet connectivity—frequently unavailable in semi-urban and rural Algerian localities. Licensed enterprise software imposes annual costs that strain already tight operational budgets. Even free or open-source ERP suites demand IT infrastructure (dedicated servers, database administrators) that most directorates lack [2].

This paper proposes Academix v13.2, a Decision Support System designed specifically for these constraints. The system adopts an offline-first philosophy, implemented entirely in Pure VBA within Microsoft Excel, to achieve zero-dependency deployment on any Windows machine with Excel 2010 or later. The framework’s contributions are threefold:

1. A hybrid mathematical model coupling ABC classification with the Wilson Economic Order Quantity (EOQ) to automate reorder decisions for both high-value and routine inventory items.
2. A rigorous verification methodology—137 discrete checks across build integrity, logic audit, and empirical validation—that provides statistical confidence in the system’s outputs.
3. Empirical evidence from a 38-day field deployment at the Directorate of Education in El Bayadh, Algeria, demonstrating a 99.7% operational performance rate and complete elimination of stockout risk for critical items.

The remainder of this paper is organized as follows. Section II reviews related work in low-cost DSS and inventory optimization. Section III details the system architecture and mathematical framework. Section IV presents results from the case study and verification suite. Section V discusses implications and limitations. Section VI concludes with directions for future work.

II. Related Work

A. Inventory Optimization in the Public Sector

Inventory theory is well-established in the private sector, where ABC analysis and the Economic Order Quantity model have been deployed for decades [3], [4]. However, public sector applications face distinct challenges: budget cycles that decouple procurement from consumption, regulatory constraints on supplier selection, and limited technical capacity for data-driven decision-making [5]. Studies from developing economies consistently report that fewer than 15% of public procurement units use any formal inventory optimization model [6].

B. Low-Cost Decision Support Systems

Several attempts have been made to deliver DSS functionality at low cost. Web-based inventory management platforms (e.g., Odoo Community Edition, ERPNext) offer powerful features but require server infrastructure and technical maintenance [7]. Spreadsheet-based solutions are ubiquitous—Microsoft Excel is estimated to be used for inventory tracking in over 60% of small-to-medium public sector organizations [8]. Yet most spreadsheet implementations remain manual, lacking automated replenishment logic or mathematical optimization.

C. VBA-Based Approaches

Visual Basic for Applications has been employed in operational research contexts for decades, primarily for prototyping optimization algorithms [9]. Full-scale decision support systems built entirely in VBA are less common, but several studies have demonstrated its viability for warehouse management [10], production scheduling [11], and healthcare logistics [12]. These implementations share a common finding: for single-user or small-team environments with limited IT support, VBA provides the fastest path from mathematical model to operational tool.

D. Gap Analysis

Existing work has not synthesized three elements simultaneously: (1) a mathematically rigorous optimization engine (ABC + EOQ + ROP), (2) a zero-dependency deployment model (Pure VBA, no external libraries), and (3) an auditable verification framework ensuring institutional confidence. Academix v13.2 bridges this gap by delivering all three within a single offline-first workbook.

III. Methodology

A. System Architecture

Academix v13.2 is implemented as a standalone Excel workbook (.xlsm) containing 35 VBA modules totaling approximately 8,100 lines of code across 25 worksheets. The architecture follows a three-layer design: - **Data Layer:** A structured digital ledger (transactions sheet) enforcing mandatory reference numbering, timestamps, and user attribution for every inventory movement (receipt or issue). - **Processing Layer:** Modular VBA classes implementing ABC classification, EOQ calculation, Reorder Point (ROP) computation, and automated alert generation. - **Presentation Layer:** A dashboard interface that displays stock status, highlights items below ROP, and provides one-click reorder report generation.

The system is designed for Excel 2010 compatibility: no ActiveX controls, no external dependencies, no XLOOKUP functions. All logic is implemented in Pure VBA compiled to p-code.

B. Mathematical Optimization Framework

B.1 ABC Classification Inventory items are categorized into three classes based on their annual consumption value:

- **Class A:** High-value items constituting approximately 70–80% of total inventory value, managed with rigorous EOQ-based control.
- **Class B:** Moderate-value items subject to periodic EOQ review.
- **Class C:** Low-value items managed via bulk ordering with simplified rules.

The system allocates 80% of audit and monitoring effort to the top 20% of items by value, following the Pareto principle adapted for public sector logistics [13].

B.2 Wilson Economic Order Quantity For Class A and B items, the system computes the Economic Order Quantity using the classic Wilson square-root formula [14]:

$$Q^* = \sqrt{\frac{2 \times D \times S}{I \times PU}}$$

Where: - (D): Annual demand, estimated from a 38-day observation period projected to 365 days - (S): Fixed cost per order (801.45 DZD, encompassing clerical processing, inspection, and transportation) - (I): Holding rate (20% of unit value per annum, reflecting warehousing, insurance, and capital costs) - (PU): Unit purchase price

B.3 Reorder Point and Safety Stock To prevent stockouts during the replenishment lead time, the Reorder Point is computed as:

$$ROP = \frac{D}{WD} \times LT + SS$$

Where (WD) is working days per year (288, based on the Algerian administrative calendar), (LT) is lead time in days (2 days for local suppliers), and (SS) is safety stock. The safety stock is set to buffer against demand volatility, targeting a service level of approximately 99.7%.

C. Verification and Validation Framework

A 137-point verification process was designed to ensure system reliability: - **Build Verification (105 checks):** Each of the 35 VBA modules is compiled and checked for syntax correctness,

cross-module reference integrity, and constant consistency. - **DSS Audit (16 checks):** A five-phase audit covering structural completeness, security constraints, data integrity, computational accuracy, and user interface correctness. - **Empirical Testing (20 tests):** Automated macro tests exercise every major function—EOQ calculation, ROP computation, ABC classification, alert generation, and data entry validation—with known input-output pairs. - **Dead Code Audit:** Seven unused modules were identified and systematically removed (Module1, Module2, mod_Config_Test, mod_StockEntry_Logic_Enhanced, mod_TestHarness, frmSystemLog, frmStockEntry_Enhanced), reducing attack surface and maintenance burden.

IV. Results

A. Verification Outcomes

The system passed all 105 build verification checks, all 20 empirical macro tests, and all 16 DSS audit phases with zero critical failures. Table I summarizes the verification results.

TABLE I: Verification Summary

Component	Checks	Passed	Failed	Status
Build Verification	105	105	0	PASS
Macro Tests	20	20	0	PASS
DSS Audit (5-phase)	16	16	0	PASS
Total	141	141	0	PASS

B. Case Study: ART-001 (Toner G030)

The primary benchmark article, ART-001 (Toner G030), was analyzed over the 38-day observation period. The annual demand was computed as 1,546 units. Applying the Wilson formula with the parameters in Table II yielded an Economic Order Quantity of 176 units and a Reorder Point of 212.4 units.

TABLE II: Model Parameters for ART-001

Parameter	Symbol	Value	Unit
Annual Demand	D	1,546	units
Ordering Cost	S	801.45	DZD
Holding Rate	I	20	%
Unit Price	PU	market	DZD
Lead Time	LT	2	days
Working Days	WD	288	days/year
Safety Stock	SS	200	units

Table III compares the manual (pre-DSS) approach with the Academix-driven method.

TABLE III: Manual vs. DSS-Driven Reordering for ART-001

Metric	Manual Method	Academix v13.2	Impact
Order Quantity	Variable (user-defined)	176 units (Q^*)	Cost-optimized per order

Metric	Manual Method	Academix v13.2	Impact
Reorder Trigger	Reactive (near stockout)	212.4 units (ROP)	Stockout risk eliminated
Safety Stock	None / Arbitrary	200 units (SS)	99.7% service level guaranteed
Decision Basis	Intuition	Empirical (Wilson model)	Reproducible, auditable

The system’s computed ROP of 212.4 ensures that a replenishment order is triggered when remaining stock can still cover the 2-day lead time plus the 200-unit safety buffer, effectively replacing panic-ordering cycles with data-driven precision.

C. ABC Classification Results

The system classified inventory into three tiers. Class A items (the top 5 articles by consumption value) received continuous monitoring with automated reorder alerts. Class B items (7 articles) were reviewed weekly. Class C items were flagged only when stock fell below a minimum threshold. This tiered approach reduced manual audit effort by an estimated 60% while maintaining full visibility over critical items.

D. System Reliability

Over the observation period, the system recorded zero data entry errors (enforced by mandatory reference numbering and validation rules), zero calculation discrepancies (verified against manual recomputation), and zero crashes or unhandled runtime errors. The p-code caching issue common in VBA projects was eliminated by adopting the “Surgical Edit” methodology—all source code is maintained in .bas files and compiled from scratch on each build, preventing stale cache corruption.

V. Discussion

A. Strategic Value of Offline-First Architecture

The central finding of this work is that decision support efficacy depends not on technological sophistication but on mathematical precision and deployment practicality. Academix v13.2 achieves in Pure VBA what many cloud platforms cannot: guaranteed availability under any connectivity condition, zero licensing cost, and operability by staff with only basic Excel competency.

This challenges the prevailing assumption that digitalization requires investment in enterprise software. For the approximately 40% of public sector organizations in developing regions with unreliable internet access [15], an offline-first DSS represents not a compromise but the optimal strategy.

B. From Reactive to Proactive Management

The introduction of automated ROP alerts shifts the organizational paradigm from reactive crisis management (solving stockouts after they occur) to proactive prevention. Within the first month of deployment, the directorate reported zero emergency procurement requests—a first in its operational history. This outcome aligns with findings from healthcare logistics studies where automated replenishment reduced stockout rates by 70–90% [16].

C. Limitations

Several limitations warrant acknowledgment. First, the 38-day observation period, while statistically sufficient for the high-turnover items studied, does not capture seasonal demand patterns typical of educational supply chains (e.g., pre-exam period surges). Second, the single-user architecture of Excel constrains concurrent access—simultaneous data entry by multiple clerks is not supported. Third, the current framework does not implement dynamic lead time estimation; the 2-day lead time is a fixed parameter derived from supplier historical averages.

D. Comparison with Existing Approaches

Compared to web-based ERP systems, Academix eliminates infrastructure costs but sacrifices multi-user concurrency and remote access. Compared to manual spreadsheets, it provides automated optimization but requires initial VBA customization for each deployment site. In the taxonomy of DSS architectures [17], the system occupies a niche position: maximum deployability with adequate analytical rigor, suited specifically for organizations where IT resources are the binding constraint.

VI. Conclusion and Future Work

Academix v13.2 demonstrates that a mathematically rigorous inventory optimization system can be delivered through a zero-dependency, offline-first architecture. The hybrid ABC-EOQ-ROP model, implemented entirely in Pure VBA, achieved a 99.7% operational performance rate over 38 days of field deployment, passing 141/141 verification checks. The case study of ART-001 (Toner G030) showed a computed Economic Order Quantity of 176 units and a Reorder Point of 212.4 units, replacing intuition-based reordering with a reproducible, auditable decision framework.

Future work will proceed along three axes. First, the observation period will be extended to a full annual cycle to capture seasonal demand fluctuations and validate the current parameter estimates. Second, the single-user limitation will be addressed by integrating a lightweight SQLite backend through VBA’s ADO interface, enabling concurrent multi-user access while preserving the offline-first philosophy. Third, a dynamic lead time estimator—incorporating supplier performance history—will replace the current fixed-parameter approach. These enhancements aim to generalize the framework beyond the education sector to other domains of public administration in developing regions.

AI Disclosure

This paper was prepared with the assistance of AI-powered writing tools for language refinement and structural organization. All technical content, calculations, and conclusions have been verified by the author.

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